

STOCK ANALYSIS REPORT

A Comparative Study Of tata Motors, Sun Pharma & Bharti Airtel

Prepared as part of the
CodeAlpha Finance & Investment Analysis Internship

Task 1 : Stock Analysis Report

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Market Data As of early September 2026 NSE/BSE listed companies

1. Executive Summary

This report analysis three large-cap Indian equities listed on the NSE/BSE – Tata Motors Ltd (commercial vehicles), Sun Pharmaceutical Industries (pharmaceuticals) and Bharti Airtel (telecommunications) – with the goal of evaluating their current valuation, recent price performance and investment outlook. The three stock represent distinct, non-overlapping sector – automobiles/manufacturing, healthcare/pharma, and telecom – offering a diversified view of the Indian economy beyond banking and IT.

Unlike many large-cap that struggled in 2006, all three stocks in that basket delivered flat-to-strongly-positive one year return, though for vary different reasons. Tata Motors has rallied sharply post its commercial-vehicle demerger and a sharp earning recovery. Sun Pharma has climbed steadily on specialty-drug momentum and a landmark acquisition. Bharti Airtel has been roughly flat on a one-year basis but remains a strong operational performer, with brokerage positive on its tariff-hike-led earnings outlook.

2. Company Snapshots & Key Metrics

Tata Motors Ltd. (NSC: TATAMOTORS)

Tata Motors Ltd today refers specifically to the commercial vehicles (CV) business trucks business and related financing – following the October 2025 demerger that split the erstwhile Tata Motors into two independently listed companies; Tata Motors Ltd (CV) and Tata Motors Passenger Vehicles Ltd (which now houses the PV, EV and Jaguar Land rover business)

₹475 Current Price	41.6x P/E Ratio	₹1.75 L Cr Market Cap.	+44.2% 1-Yr Return
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52-week range; ₹306.30-₹509.00. The stock trades close to its 52-week high, reflecting strong investor appetite for the stand-alone CV business since its listing.

Recent News and Development.

- The October 2025 demerger separated the historical strong, cash-generative CV business from the more capital-intensive, JLR-dependent PV business, letting investors value each on its own merits-the CV stock has re-rated sharply since listing at ~ ₹330.
- Q1 FY27 net profit jumped 83.25% year-on-year to ₹2,560 crore, with a 42.78% sequential jump, reflecting a strong post-demerger operating performance.
- Note for investors: because of the demerger, one year of price history spans two different corporate structure the pre-October 20025 price reflects the combined CV+PV+JLR entry, while the current price reflects the CV business alone. Comparisons across the split should be read with this in mind.

Sun Pharmaceutical Industries Ltd. (NSE: SUNPHARMA)

Sun Pharma is India's largest pharmaceutical company and the world's fourth-largest specialty generics maker, with a growing global specialty portfolio (dermatology, oncology, ophthalmology) alongside its traditional generics business.

₹1,899 Current Price	~38.3x P/E Ratio	₹4.6 L Cr Market Cap.	+20.4% 1-Yr Return
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52-week range: ₹1,548.00 – ₹2,046.90. Sun Pharma has climbed steadily over the past year, supported by strong specialty-drug traction and consistent double-digit profit growth.

Recent News and Development.

- Sun Pharma announced the acquisition of US-based Organon & Co. for an enterprise value of approximately \$11.75 billion — one of the largest-ever overseas acquisitions by an Indian pharma company, to be funded through a mix of debt (~\$10 billion) and internal accruals.
- The US FDA accepted Sun Pharma's supplemental application to expand its specialty drug Ilumya (tildrakizumab) from plaque psoriasis into active psoriatic arthritis, with a target regulatory action date of October 29, 2026.
- Q1 FY27 net profit rose 27% year-on-year to ₹2,895 crore, driven by continued growth in the higher-margin specialty franchise, even as the US generics business faces ongoing pricing pressure and periodic FDA compliance issues at manufacturing plants.

Bharti Airtel Ltd. (NSE: BHARTIARTL)

Bharti Airtel is India's second-largest telecom operator and among the top mobile operators globally, with a growing presence across India and 14 African markets through its Airtel Africa subsidiary.

₹1,840	~35x	₹11.5 L Cr	-0.6%
Current Price	P/E Ratio	Market Cap.	1-Yr Return

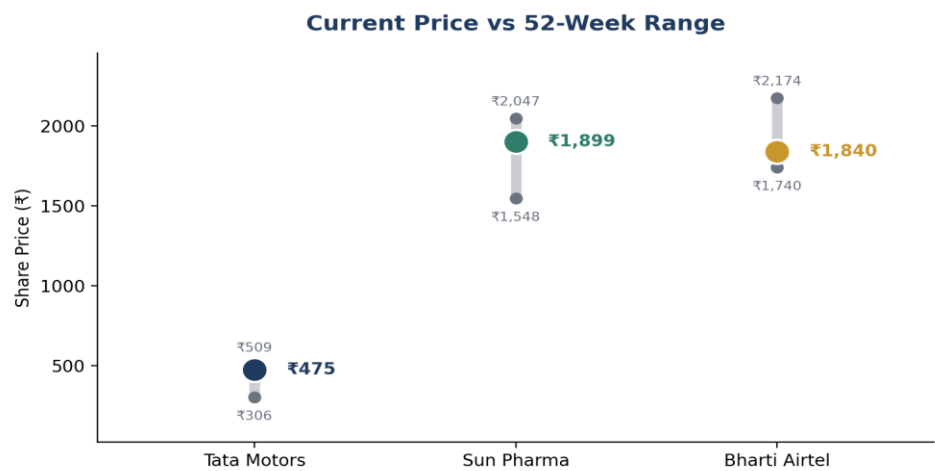
52-week range: ₹1,740.50 – ₹2,174.50. Airtel's stock has been broadly flat over the past year even as the underlying business has grown strongly, suggesting the market had already priced in much of the recent earnings momentum.

Recent News and Development.

- Q1 FY27 consolidated net profit jumped 37.3% year-on-year to ₹8,167 crore on revenue growth of 18.4%, driven by rising India mobile ARPU (up 5.6% YoY to ₹264) and a resilient, fast-growing Africa business (Africa ARPU up 16% YoY).
- Airtel's Africa arm added 5.5 million subscribers in the quarter, and its tower subsidiary Indus Towers is expanding into Nigeria, Uganda and Zambia with Airtel Africa as the anchor customer.
- Management is restructuring select prepaid plans to lift ARPU ahead of an industry-wide tariff hike widely expected in the second half of FY27 or early 2027; brokerage price targets cluster between ₹2,270 and ₹2,500, implying meaningful further upside.

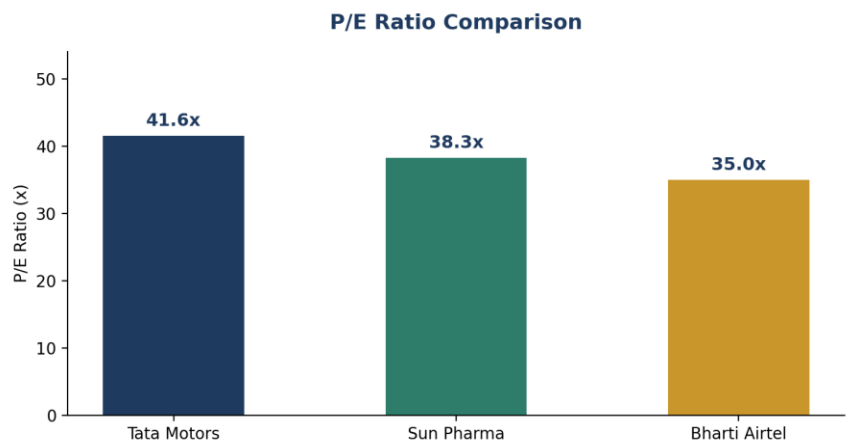
3. Executive Summary

3.1 Price Position Within 52-Week Range



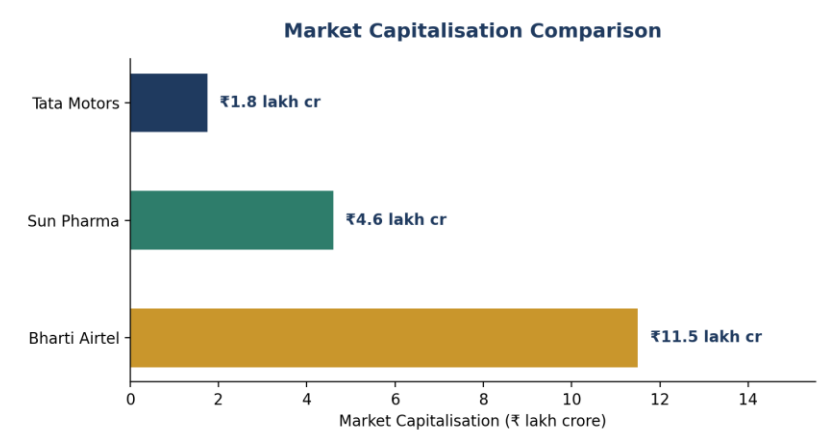
Tata Motors and Bharti Airtel are both trading close to their 52-week highs, reflecting sustained investor confidence, while Sun Pharma sits comfortably in the upper half of its range on the back of consistent earnings delivery.

3.2 Valuation — P/E Ratio



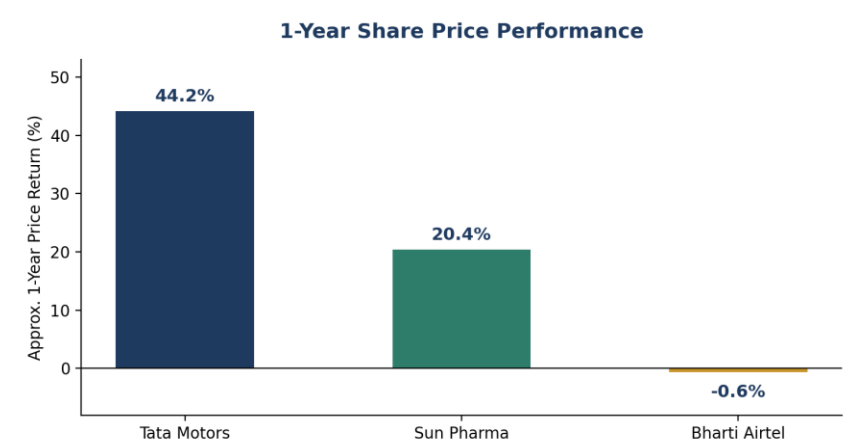
All three stocks trade at relatively rich P/E multiples (35x–42x) compared to the broader market, reflecting either strong earnings growth expectations (Tata Motors' post-demerger re-rating), a specialty-pharma premium (Sun Pharma), or a structural growth and pricing-power story (Bharti Airtel). None of these three is a 'value' stock on a pure P/E basis — all are priced for continued growth.

3.3 Market Capitalisation



Bharti Airtel is by far the largest of the three (~₹11.5 lakh crore), reflecting its scale as a national telecom infrastructure player with a growing African footprint. Sun Pharma follows at ~₹4.6 lakh crore, while the standalone Tata Motors CV business, only a year removed from its demerger, is the smallest at ~₹1.75 lakh crore.

3.4 One-Year Price Performance



Tata Motors was the standout performer (+44.2%), helped by the demerger unlock and a strong earnings recovery. Sun Pharma also delivered a healthy positive return (+20.4%). Bharti Airtel was roughly flat (-0.6%) despite strong underlying earnings growth, suggesting the stock's valuation had already priced in much of that growth.

4. Comparative Summary Table

Metric	Tata Motors	Sun Pharma	Bharti Airtel
Sector	Automobiles (CV)	Pharmaceuticals	Telecommunications
Current Price	₹475	₹1,899	₹1,840

Metric	Tata Motors	Sun Pharma	Bharti Airtel
Market Cap	₹1.75 lakh crore	₹4.6 lakh crore	₹11.5 lakh crore
P/E Ratio	~41.6x	~38.3x	~35x
52-Week Range	₹306.30 – ₹509.00	₹1,548.00 – ₹2,046.90	₹1,740.50 – ₹2,174.50
1-Year Return	+44.2%	+20.4%	-0.6%
Key Driver	CV demerger unlock, profit recovery	Organon acquisition, specialty growth	ARPU growth, Africa expansion, tariff hikes
Analyst Stance	Positive post-demerger	Positive on specialty pipeline	Broadly positive, Buy-rated by most brokerages

5. Risk Assessment

- Tata Motors: The CV business is inherently cyclical and tied to freight demand, infrastructure spending and interest rates; the stock's rich post-demerger valuation (~42x P/E) leaves little room for earnings disappointment.
- Sun Pharma: Integration risk and leverage from the large, debt-funded Organon acquisition; continued exposure to US FDA compliance actions at manufacturing facilities and periodic product recalls; pricing pressure in the US generics market.
- Bharti Airtel: Regulatory uncertainty around 5G network slicing and TRAI's net-neutrality inquiries; execution risk on the timing and magnitude of the next industry tariff hike; currency and political risk across its African operating markets.

6. Conclusion and Investment Takeaways

This basket illustrates a very different picture from banking- or IT-heavy portfolios: all three stocks — spanning autos, pharma and telecom — delivered flat-to-strongly-positive one-year returns, each driven by clear, company-specific catalysts (a corporate demerger, a landmark acquisition, and steady operating execution respectively) rather than by a single macro tailwind.

- Tata Motors offers the highest-beta, highest-reward profile of the three following its demerger — attractive for investors who believe the standalone CV business deserves a cleaner valuation, but the richest P/E of the group leaves limited margin for error.
- Sun Pharma provides a relatively steadier growth story anchored in its specialty pharma pipeline, though the Organon acquisition materially increases leverage and execution risk over the next 2–3 years and is worth monitoring closely.
- Bharti Airtel looks best positioned for investors seeking a lower-volatility compounder — strong, visible earnings growth (ARPU expansion, Africa scale-up, upcoming tariff hikes) at a share price that has yet to fully reflect that momentum, per current brokerage targets.